Type MS · Convert prices between currencies with exchange rates

Answer 1 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 1 of 24 · Question 1 part a.v · 1 mark

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Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 1 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 1 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a.v in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 1 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 2 of 24 · Question 1 part a.v · 1 mark

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1 (a) (i)	**AO1 - 1 mark** **B -** Government reports	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **C -** Increased market share	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A -** Bank loan	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **C –** Production	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **A -** 2 489.60 Ks	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D -** The cost of importing a handbag would fall	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of stakeholder. • Individuals or groups with an interest in the success or failure of a business **(1).**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 2 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is measured by value and expressed/represented as numbers **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid response which relates to a method of on-the-job training in the context of the business. • Shadowing a fellow shoe fitter **(1).** • Demonstrating how customers are advised between different shoe brands **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 500 500/ 570 000 x 100 **(1)** Answer 87.81% **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 2 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of a way, plus 2 further marks for explaining how this way will affect a business for a maximum of 3 marks. • A business could negotiate deals with suppliers at a cheaper rate **(1)** this will keep costs as low as possible **(1)** meaning that the business can look to reduce the prices of their products/services to encourage more sales **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 2 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part a.v in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* is located in three shopping malls where there are other shoe shops. • *Backyard Shoez* need to maintain a high standard at all times to encourage customers to buy its shoes and bags. **AO3** • If customer needs are not met then present customers are likely to go to other shoe shops. • *Backyard Shoez* will maintain customer loyalty with positive effects on sales and revenue.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Convert prices between currencies with exchange rates

Answer 2 of 24 · Question 1 part a.v · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 3 of 24 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 · extract 1 of 5 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **D –** Share capital	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **B -** Age	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A –** Market research	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** – Total costs and revenue are the same	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 - 1 mark** **B –** €34 800	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **C -** €5 962	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of insolvency. • When a business can no longer meet its debts **(1)**.	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 3 of 24 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of product life cycle. • The stages a product will pass through from its introduction, through to growth, maturity and then decline **(1)**.	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why an employee could be dismissed in the context of the business. • Arriving late on the production line **(1)**. • Stealing an item such as a tyre **(1)**. **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 89,841 x .23 **(1)** = 20,663.43 89,841 + 20,663 = 110,504 **(1)** **OR** 123/100 x 89,841 **(1)** **=** 110,504 **(1)**	Award 1 mark for correctly substituting numbers into the formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 3 of 24 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an impact of technology on production, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Fewer people required to work in the factories doing repetitive jobs **(1)** people get bored doing these jobs and make mistakes **(1).** Less employees brings the cost of goods down **(1).** • More robots are manufacturing the vehicles than previously **(1)** this means that the vehicles can be manufactured in any country **(1)** therefore the business could move to a cheaper country **(1).** Answers that list three impacts with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**3)**

Type MS · Convert prices between currencies with exchange rates

Answer 3 of 24 · Question 1 part a.vi · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part a.vi in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Tata Motor Company* highlights that it helps the local community with building schools/working on the environment. • *Tata Motor Company* also invests heavily in the health and welfare of people and the community. **AO3** • The public are more likely to think highly of *Tata Motor Company* if it is using the profits from its business to help local communities. • If there is any bad publicity about the vehicles sold then it could have a negative effect on the business.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 3 of 24 · Question 1 part a.vi · 1 mark

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Question Number	Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 4 of 24 · Question 1 part a.vi · 1 mark

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1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D – Personal satisfaction** A is not correct because it is a financial business objective B is not correct because it is a financial business objective C is not correct because it is a financial business objective	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is A - Rising star** B is not correct because it is a process carried out for health and safety at work C is not correct because it is in relation to branding D is not correct because it is part of the product life cycle	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is B - Bonus** A is not correct because it is a financial method of motivation that is not added to a basic wage C is not correct because it is a non-financial method of motivation that is not added to a basic wage D is not correct because it is a method of payment where workers get paid for each item produced	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 4 of 24 · Question 1 part a.vi · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A - Growth** B is not correct because this is phase 4 on figure 1 C is not correct because this is phase 1 on figure 1 D is not correct because this is phase 3 on figure 1	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is B - 150%** A is not correct because this is profit per item C is not correct because this is selling price per course + cost per item D is not correct because this is selling price per course/ cost per item x100	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is D - 9 675.90 JPY** A is not correct because this is the cost of the course B is not correct because this is the exchange rate of the JPY C is not correct because this is the cost of the course multiplied by 148	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 4 of 24 · Question 1 part a.vi · 1 mark

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Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of capital intensive production. • Production methods that make more use of machinery than labour (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is expressed as number (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a reason why Tom Baker operates his business as a social enterprise. • He could use his profits to help his local community (1). **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 4 of 24 · Question 1 part a.vi · 1 mark

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Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 23 546 x 0.03 = 706.38 (1) 23 546 + 706.38 = 24 252.38 (1) **OR** 23 546 x 103 (1) = 24 252.38 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a method of increasing profit, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Profits could be increased by cutting costs (1). A small business could cut the number of workers it has or reduce their hours (1) so if the revenue stays the same this will increase the profit (1). **NB** Answers that list three methods with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 4 of 24 · Question 1 part a.vi · 1 mark

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Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • There is more interest in businesses becoming 'green' and *Loaf* provides somewhere for the community to recycle. • *Loaf* operates the 'Waste Not' scheme by giving away waste instead of disposing of it to reduce the amount the business disposes of. **AO3** • If the business is able to recycle packaging then it can cut costs leading to more profit to be contributed back to the local community, customers will be happy about this as they can physically see their local area being helped. • This is important for *Loaf* as customers will be able to see that the business is helping charities, meeting its social objectives and reducing any waste that it produces as a business.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 4 of 24 · Question 1 part a.vi · 1 mark

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Question Number	Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 5 of 24 · Question 1 part a.v · 1 mark

2020 NOV · Paper 01 · extract 1 of 5 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is B – Income tax** A is not correct because sales tax is not a tax C is not correct because it is a tax paid by limited businesses D is not correct because it is not a tax	**(1)**
Question Number	Answer	Mark
1 (a) (ii)	**AO1 = 1 mark** **The only correct answer is D – Packaging** A is not correct because it is a fixed cost B is not correct because it is a fixed cost C is not correct because it is a fixed cost	**(1)**
Question Number	Answer	Mark
1 (a) (iii)	**AO1 = 1 mark** **The only correct answer is C – Focus groups** A is not correct because it is a method of secondary market research B is not correct because it is a method of secondary market research D is not correct because it is a method of secondary market research	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 5 of 24 · Question 1 part a.v · 1 mark

2020 NOV · Paper 01 · extract 2 of 5 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iv)	**AO1 = 1 mark** **The only correct answer is A –** **Total cash inflow – total cash outflow** B is not correct because it is the incorrect calculation C is not correct because it is the incorrect calculation D is not correct because it is the incorrect calculation	**(1)**
Question Number	Answer	Mark
1 (a) (v)	**AO2 = 1 mark** **The only correct answer is D - €86.25** A is not correct because this is worked out by multiplying five lessons by the exchange rate of €1.15 B is not correct because this is the cost of the lesson C is not correct because this is worked out by multiplying the cost of each lesson at £15 by five lessons	**(1)**
Question Number	Answer	Mark
1 (a) (vi)	**AO2 = 1 mark** **The only correct answer is A – A decrease in cash outflows** B is not correct because this is not an impact of a decrease in the exchange rate C is not correct because this is not an impact of a decrease in the exchange rate D is not correct because this is not an impact of a decrease in the exchange rate	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 5 of 24 · Question 1 part a.v · 1 mark

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Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of fixed costs. • Costs that do not vary with the level of output (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for the correct definition of stakeholder. • An individual or a group with an interest in the business (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a valid response that relates to investing in computer technology in the context of the business. • *TADS* could improve the quality of the sound that the drums make (1).	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 = 2 marks** (350 – 190) / 190 x 100 (1) = 84.21% (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 5 of 24 · Question 1 part a.v · 1 mark

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Question Number	Answer	Mark
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining how this will affect a business for a maximum of 3 marks. • Partners may disagree and fall out (1) meaning decision making can take longer (1) stopping the business moving forward with new ideas (1). **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *TADS* is located in a wealthy area near to people with more disposable income. • *TADS* needs to be far away from competitors in the music school industry. **AO3** • It is important to be located close to the target market as parents may not want to travel far for the lessons for their children. • As the service provided is specialised it is best to be far away from other drumming schools as not everyone will want to play them.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 5 of 24 · Question 1 part a.v · 1 mark

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Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 6 of 24 · Question 1 part a.v · 1 mark

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1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 6 of 24 · Question 1 part a.v · 1 mark

2021 JUN · Paper 01 · extract 2 of 7 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 6 of 24 · Question 1 part a.v · 1 mark

2021 JUN · Paper 01 · extract 3 of 7 · find part a.v in this mark scheme extract

Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 6 of 24 · Question 1 part a.v · 1 mark

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Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 6 of 24 · Question 1 part a.v · 1 mark

2021 JUN · Paper 01 · extract 5 of 7 · find part a.v in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Convert prices between currencies with exchange rates

Answer 6 of 24 · Question 1 part a.v · 1 mark

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 6 of 24 · Question 1 part a.v · 1 mark

2021 JUN · Paper 01 · extract 7 of 7 · find part a.v in this mark scheme extract

Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 7 of 24 · Question 1 part a.iii · 1 mark

2021 JUN · Paper 02 · extract 1 of 7 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 7 of 24 · Question 1 part a.iii · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 7 of 24 · Question 1 part a.iii · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 7 of 24 · Question 1 part a.iii · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 7 of 24 · Question 1 part a.iii · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part a.iii in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 7 of 24 · Question 1 part a.iii · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part a.iii in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Convert prices between currencies with exchange rates

Answer 7 of 24 · Question 1 part a.iii · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 8 of 24 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 01 · extract 1 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

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Type MS · Convert prices between currencies with exchange rates

Answer 8 of 24 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Convert prices between currencies with exchange rates

Answer 8 of 24 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

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Answer 8 of 24 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part a.vi in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 8 of 24 · Question 1 part a.vi · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part a.vi in this mark scheme extract

Question Number	Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 9 of 24 · Question 4 part a · 2 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 5 353/6.70 **(1)** = 798.96 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Convert prices between currencies with exchange rates

Answer 9 of 24 · Question 4 part a · 2 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse why *Huawei* would want good quality control when producing its smartphones. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If *Huawei* gains a reputation for good quality products more customers are likely to purchase its smartphones • To repair faulty smartphones or tablets could be expensive for *Huawei* **AO3** • If the standard is not maintained then customers may not trust the reliability of the smartphones and may change to other brands • If customers have to wait for smartphones and tablets to be repaired this could give *Huawei* a bad reputation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Type MS · Convert prices between currencies with exchange rates

Answer 9 of 24 · Question 4 part a · 2 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate why *Huawei* would carry out market research before designing a new product. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Market research finds out what customers' needs and wants are • By carrying out market research *Huawei* will be able to make informed decisions as to actions it should take **AO2** • If *Huawei* produces a watch that very few customers want then it could waste a great deal of money • *Huawei* may decide to add additional features or reduce or increase the size of its smartphones from comments made by potential customers **AO3** • This could have a negative effect on *Huawei's* financial situation and also impact upon the development of other products such as tablets that *Huawei* makes and sells • This could help increase sales of tablets and smartphones and enable *Huawei* to remain competitive **AO4** • However, producing a watch that no other business is offering could mean that it sells more of the products and gains a competitive advantage • However, there is no guarantee that all the market research carried out is worthwhile as customers' tastes and needs are changing constantly in light of new technological developments	**(12)**

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Answer 9 of 24 · Question 4 part a · 2 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5– 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).

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Answer 9 of 24 · Question 4 part a · 2 marks

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Level 3	9–12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Convert prices between currencies with exchange rates

Answer 10 of 24 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Pay suppliers later** **A –** this is not correct because it will decrease cash-flow **B** – this is not correct because it could increase cash-flow in the long-term but not immediately **C** – this is not correct because it will decrease cash-flow	**(1)**

Question Number	Which **one** of the following is an example of primary market research? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Postal survey** **A –** this is not correct because it is an example of secondary market research **C –** this is not correct because it is an example of secondary market research **D** - this is not correct as it is an example of secondary market research	**(1)**

Question Number	Which **one** of the following is a fixed cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A – Rent** **B** – this is not correct because it is a variable cost **C** – this is not correct because it is a variable cost **D** – this is not correct because it is a variable cost	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 10 of 24 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is used to calculate the break-even point? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is D – Fixed costs ÷ (selling price – variable costs)** **A –** this is not correct because it is does not calculate the break-even point **B –** this is not correct because it is does not calculate the break-even point **D –** this is not correct because it is does not calculate the break-even point	**(1)**

Question Number	Which **one** of the following is the total cost in euros of buying 2 weeks of salmon? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – €448.58** **A –** this is not correct because it is the cost of 10kgs of salmon in pounds **B –** this is not correct because it is the cost of 10kgs of salmon in euros **C –** this is not correct because it is the cost of 20kgs of salmon in pounds	**(1)**

Question Number	Which **one** of the following is the markup of prawns? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – 19.1%** **A –** this is not correct because it is the cost of a kilogram of prawns as a percentage **B –** this is not correct because it is the selling price of a kilogram of prawns as a percentage **D –** this is not correct because it is double the cost of a kilogram of prawns as a percentage	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 10 of 24 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.v in this mark scheme extract

Question Number	Define the term **job production** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • When an item is made and finished before the next one is started **(1)**	**(1)**

Question Number	Define the term **diseconomies of scale** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • Rising average costs as units increase **(1)**	**(1)**

Question Number	State **one** method *Can Culleretes* could use to collect quantitative market research. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method *Can Culleretes* could use to collect quantitative market research in the context of *Can Culleretes.* • *Can Culleretes* could use a questionnaire to get feedback on its new menu from its customers **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 10 of 24 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.v in this mark scheme extract

Question Number	Calculate the net cash flow for *Can Culleretes*. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 4 600 – 3 000 **(1)** = 1 600 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business of improving communication with its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business if it improves communication with employees, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Employees will have a clear understanding of what has to be done **(1)** this could mean that fewer mistakes will be made **(1)** leading to an increase in productivity of employees **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 10 of 24 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.v in this mark scheme extract

Question Number	Analyse the likely impact on productivity if *Can Culleretes* launch this app. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The app means waiters do not have to take orders at the customer's table • As soon as customers place the order the kitchen will receive the order immediately **AO3** • This will reduce the cost to the business so the waiter can spend more time doing other tasks rather than taking orders • This will increase productivity as it will make for a more efficient ordering system for the restaurant	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 10 of 24 · Question 1 part a.v · 1 mark

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.v in this mark scheme extract

Question Number	State **one** impact that government legislation could have on *Can Culleretes*. **Answer**	**Mark**

Type MS · Convert prices between currencies with exchange rates

Answer 11 of 24 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Niche marketing** **A –** this is not correct because it is a form of promotion to the whole market **C** – this is not correct because it is a percentage that the business has of a specific market **D** – this is not correct because it is the activity of gathering information about conditions affecting a market	**(1)**

Question Number	Which **one** of the following is a financial aim for a business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - Survival** **B –** this is not correct because it is a non-financial aim **C –** this is not correct because it is a non-financial aim **D –** this is not correct because it is a non-financial aim	**(1)**

Question Number	Which **one** of the following is a variable cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Raw materials** **A** – this is not correct because it is a fixed cost **B** – this is not correct because it is a fixed cost **C** – this is not correct because it is a fixed cost	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 11 of 24 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is a role of the production function? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B – Quality control** **A –** this is not correct because it is a role of the human resources function **C –** this is not correct because it is a role of the marketing function **D –** this is not correct because it is a role of the human resources function	**(1)**

Question Number	Which **one** of the following is the markup on the packs of balloons? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 134.72 %** **A –** this is not correct because it is the cost of the balloon pack **B –** this is not correct because it is the profit of the balloon pack **C –** this is not correct because it is the profit x cost of the balloon pack	**(1)**

Question Number	Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is D – 206.18 MYR** **A –** this is not correct because it is the price of one balloon pack **B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05 **C –** this is not correct because it is the price of four balloon packs	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 11 of 24 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part a.vi in this mark scheme extract

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of primary sector. • The extraction of raw materials from the earth **(1)**.	**(1)**

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • When the average unit cost increases due to the growth of a business **(1).**	**(1)**

Question Number	State **one** factor *TBTS* should consider when selecting its manufacturers. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*. • *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**. **NB** Do not accept a factor that is not in the context of *TBTS* **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 11 of 24 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part a.vi in this mark scheme extract

Question Number	Calculate the total costs for *TBTS*. **Answer**	**Additional guidance**	**Mark**
1 (e)	Calculate the total costs for *TBTS*. **A02 - 2 marks** 555.31 + (0.93 x 160) **(1)** = 704.11 **(1)**	 Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage of being a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 11 of 24 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part a.vi in this mark scheme extract

Question Number	Analyse the likely impact of external factors on business decisions made by *TBTS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys • Technological advances could increase the cost of buying or the price of a range of toys **AO3** • This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods • If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 11 of 24 · Question 1 part a.vi · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part a.vi in this mark scheme extract

Question Number	State **one** way *TBTS* can measure its success as a business **Answer**	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 12 of 24 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B** Partnership A A sole trader is only one person C Public Corporation is a large business run by many D Public Limited Company has directors and can be quite a large business	**(1)**

Question Number	Which **one** of the following would show a business its cash flow forecast? Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **A** Cash inflows and outflows B Money owed to its creditors is a debt and is not a forecast C Net cash flow is the difference between money in and money out D Opening and closing balances are actual amounts and not a forecast	**(1)**

Question Number	Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **C** 411.19 A 20.59 (20.58 + 1) B 205.60 (20.58 x 9.99) D 411.60 (20.58 x 10.00 x 2)	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 12 of 24 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following functional areas would a skilled machinist work in? Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **C** Production A Finance deals with the money side of the business B Human Resources deals with recruitment D Marketing deals with advertising the products	(1)

Question Number	What is the percentage decrease in the price of the *Cadbury* Crunchie? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **D** 8.42% A 0.92% (0.87 ÷ 0.95) B 1.09% (0.95 ÷ 0.87) C 8.00% (0.95 - 0.87)	(1)

Question Number	Which **one** of the following is an example of secondary market research? Answer	Mark
1 (a)(vi)	**AO1 - 1 mark** **B** Market Report A Telephone Survey is primary research C Test Marketing is primary research D Focus Group is primary research	(1)

Question Number	Define the term **personal savings.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **personal savings.** • Money that belongs to an individual not a business **(1)**	(1)

Type MS · Convert prices between currencies with exchange rates

Answer 12 of 24 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a.iii in this mark scheme extract

Question Number	Define the term **sole trader.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **sole trader.** • A business owned by a single person **(1)**	**(1)**

Question Number	State **one** reason why *Cadbury* might pay its UK employees above the minimum wage. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)** • Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)** **NB** Do not accept a reason that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 12 of 24 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a.iii in this mark scheme extract

Question Number	Calculate the selling price of the chocolate cake. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 6.50 x .20 = 1.30 **(1)** 6.50 + 1.30 = 7.80 **(1)** **OR** 6.50 x 1.20 **(1)** = 7.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	(2)

Question Number	Explain **one** advantage for businesses if banks reduce their interest rates. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)** • If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	(3)

Type MS · Convert prices between currencies with exchange rates

Answer 12 of 24 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a.iii in this mark scheme extract

Question Number	Analyse **two** factors that could influence *Cadbury* when locating a new factory. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** <u>AO2</u> • *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers • Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods <u>AO3</u> • If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel • This means that the cocoa will arrive in time for the production of *Cadbury* products	**(6)**

Type MS · Convert prices between currencies with exchange rates

Answer 12 of 24 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a.iii in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Convert prices between currencies with exchange rates

Answer 12 of 24 · Question 1 part a.iii · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*. Answer	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 13 of 24 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – The lowest amount a business can legally pay its employees** **A –** Fixed amount per year and paid monthly – this is not the correct answer as it is a salary **C** – Payment made to an employee for working additional hours – this is not the correct answer as it is overtime **D** – Payment made to an employee for reaching a target – this is not the correct answer as it is a bonus	**(1)**

Question Number	Which **one** of the following describes the cash cow category in the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Low market growth, high market share** **A –** High market growth, high market share – this is not correct as it is the star category **B –** High market growth, low market share - this is not correct as it is the question mark category **D –** Low market growth, low market share - this is not correct as it is the dog category	**(1)**

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Answer 13 of 24 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following would give a business a negative cash flow? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Cash outflow is greater than cash inflow** **A** – Cash inflow is greater than cash outflow – this is not correct as it would give the business positive cash flow **B** – Costs are greater than profits – this is not correct as it would give the business a loss **C** – Profits are greater than costs – this is not correct as it would give the business profit	**(1)**

Question Number	Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Job description** **B –** Person specification - this is not correct as it is a document outlining person attributes **C –** Application form – this is not correct as it is a form potential employees fill in **D –** Curriculum vitae – this is not correct as it is a document outlining the skills, experiences and qualifications of the potential employee	**(1)**

Question Number	Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €317.40** **A –** €79.35 – this is not the correct answer as it is the cost of 150 metres of wrapping paper for a week **B –** €276.00 – this is not the correct answer as it is 4 weeks of wrapping paper in pounds **D –** €396.75 – this is not the correct answer as it is 5 weeks of wrapping paper in euros	**(1)**

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Answer 13 of 24 · Question 1 part a.v · 1 mark

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Question Number	Which **one** of the following is the markup for a selection of traditional flowers? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A – 54.76%** **B –** 64.62% – this is not the correct answer as it is 42/65 x100 **C –** 182.61% – this is not the correct answer as it is 42/23 x100 **D –** 282.61% – this is not the correct answer as it is 65/23 x100	**(1)**

Question Number	Define the term **economies of scale.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale.** • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder**. • Individuals or groups with an interest in the operation of a business **(1)**	**(1)**

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Answer 13 of 24 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part a.v in this mark scheme extract

Question Number	State **one** benefit to *Aude Rose* of using just-in-time (JIT) production. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Aude Rose* of using just-in-time production in the context of the business. • *Aude Rose* will have less waste as the flowers will be fresh when delivered to the Paris shop **(1)** **NB** Do not accept a benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate how many bunches of flowers will *Aude Rose* have to sell to break-even. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 50 000/(50 – 10) **(1)** = 1 250 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 13 of 24 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part a.v in this mark scheme extract

Question Number	Explain **one** reason why a business might fail. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why a business might fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • A lack of finance **(1)** from poor cashflow can lead to its failure **(1)** leading to an issue of paying for inventory to sell on to customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Convert prices between currencies with exchange rates

Answer 13 of 24 · Question 1 part a.v · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part a.v in this mark scheme extract

Question Number	Analyse the importance to Aude Anglaret of motivating her employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the florists are motivated, they could produce more bunches of flowers for sale to customers • The florists are more likely to stay in the flower shop if they are paid more **AO3** • Increased productivity could lead to greater outputs and more sales • Employees who stay will reduce the cost of recruitment and training of new employees	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Convert prices between currencies with exchange rates

Answer 13 of 24 · Question 1 part a.v · 1 mark

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Question Number	State **one** fringe benefit *Aude Rose* could offer its employees. **Answer**	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 14 of 24 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 14 000 000 ÷ 103 **(1)** = 135 922.33 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why *M&M* wants to continue planting trees. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *M&M* planting trees is good for its image, its customers and the sale of its cars • This would improve the environment and air quality in countries where *M&M* has factories making vehicles **AO3** • This would increase public awareness of the environment and encourage more people to purchase from *M&M* • Even though the manufacture of vehicles and tractors does pollute the atmosphere *M&M* are trying to reduce the amount of damage done	**(6)**

Type MS · Convert prices between currencies with exchange rates

Answer 14 of 24 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 14 of 24 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate why *M&M* uses cash flow forecasting to help inform decision making. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • *M&M* using their cash flow forecast, can help them predict net cash flow for the future • If *M&M* predict that the cash inflow will be high then they may decide to invest in other areas of the business **AO2** • Depending on whether there is sufficient funds they could introduce additional features on the tractors • The funds could be used to employ specialist staff who have skills in developing electronic devices on the new cars being produced **AO3** • If there are not sufficient funds then *M&M* may decide to wait until they have the funds available • This would then maintain their image of introducing new and innovative features to the cars **AO4** • However, a cash flow forecast is only a prediction and does not guarantee that the funds will be there in the future • However, there is no guarantee that there will be sufficient cash to cover all the costs of employing the staff or that the new features will be liked by customers	**(12)**

Type MS · Convert prices between currencies with exchange rates

Answer 14 of 24 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Convert prices between currencies with exchange rates

Answer 14 of 24 · Question 4 part a · 2 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Convert prices between currencies with exchange rates

Answer 15 of 24 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 · extract 1 of 7 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 15 of 24 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 · extract 2 of 7 · find part a.iii in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 15 of 24 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 · extract 3 of 7 · find part a.iii in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 15 of 24 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 · extract 4 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 15 of 24 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 · extract 5 of 7 · find part a.iii in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 15 of 24 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 · extract 6 of 7 · find part a.iii in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Convert prices between currencies with exchange rates

Answer 15 of 24 · Question 1 part a.iii · 1 mark

2023 JUN · Paper 02 · extract 7 of 7 · find part a.iii in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**

Type MS · Convert prices between currencies with exchange rates

Answer 16 of 24 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Retained profit** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as crowdfunding is an external source of finance **D** is not correct answer as share capital is an external source of finance	**(1)**

Question Number	Which **one** of the following is a result of average costs rising in a large business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – diseconomies of scale** **A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size **C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate **D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate	**(1)**

Question Number	Which **one** of the following is the money left after all costs have been subtracted from revenue? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Profit** **A** is not the correct answer as gross profit is the profit after the cost of producing the product **B** is not the correct answer as inflows are payments into a business **C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 16 of 24 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is a debt payable after 12 months? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – non-current liability** **B** is not the correct answer as a current liability is a debt that is payable within 12 months **C** is not the correct answer as a non-current asset is one that lasts for more than one year **D** is not the correct answer as a current asset is likely to be turned into cash within a year	**(1)**

Question Number	Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – 107%** **A** is not the correct answer as 48% is 2.56/5.30 x100 **B** is not the correct answer as 93% is 2.56/2.74 x100 **D** is not the correct answer as 207% is 5.30/2.56 x100	**(1)**

Question Number	Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B - €48.81** **A** is not the correct answer as €59.52 is 50kg / £0.84 **C** is not the correct answer as €42.00 is 50kg x £0.84 **D** is not the correct answer as €41.00 is 50kg x £0.82	**(1)**

Question Number	Define the term **variable cost** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **variable cost.** • A cost that changes directly with output **(1)**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 16 of 24 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.vi in this mark scheme extract

Question Number	Define the term **niche marketing.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **niche marketing**. • Targeting a smaller segment of a market **(1)**	**(1)**

Question Number	State **one** way *Café Pinch* can react to external social factors affecting its business. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business. • They can change their menu to suit people becoming more health conscious **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate what a customer would pay for these three items after the discount is applied. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 14.00 x 0.05 = 0.70 **(1)** 14.00 – 0.70 = 13.30 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 16 of 24 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.vi in this mark scheme extract

Question Number	Explain **one** advantage to a start-up business of using a venture capitalist. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 16 of 24 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.vi in this mark scheme extract

Question Number	Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If waiters serving customers are motivated, they will provide a good service when serving food and drink • If the chefs are motivated, they can come up with new dishes to enhance the menu **AO3** • If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business • This could lead to staff retention and lower recruitment costs	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 16 of 24 · Question 1 part a.vi · 1 mark

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Question Number	State **one** reason why *Café Pinch* might set business objectives. **Answer**	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 17 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Age** **A** is not the correct answer as skills are not protected by legislation **C** is not the correct answer as experience is not protected by legislation **D** is not the correct answer as ability is not protected by legislation	**(1)**

Question Number	Which **one** of the following represents a star product on the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - High market growth, high market share** **B** is not the correct answer as it is a question mark product **C** is not the correct answer as it is a cash cow product **D** is not the correct answer as it is a dog product	**(1)**

Question Number	Which **one** of the following is the method of production where one unit of output is completed at a time? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Job** **A** is not the correct answer as lean is focussed on cutting out waste **B** is not the correct answer as flow is continuous production of the same product **C** is not the correct answer as batch is the production of a batch of one unit before moving on to the next	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 17 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 · extract 2 of 6 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is a current asset? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - cash** **A** is not the correct answer as a vehicle is a non-current asset **C** is not the correct answer as a building is a non-current asset **D** is not the correct answer as a factory is a non-current asset	**(1)**

Question Number	Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C - €630.95** **A** is not the correct answer as €22.56 is £26.50 x €0.84 **B** is not the correct answer as €445.20 is (£26.50/€0.84) x 20 **D** is not the correct answer as €513.20 is (£26.50 - €0.84) x 20	**(1)**

Question Number	Which **one** of the following is the total monthly cost for *PPS*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A - €692.50** **B** is not the correct answer as €931.50 is €54 x €17.25 **C** is not the correct answer as €2137.50 is (€54 + €17.25) x 30 **D** is not the correct answer as €2312.50 is ((€54 + €17.25) x 30) + 175	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 17 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 · extract 3 of 6 · find part a.v in this mark scheme extract

Question Number	Define the term **robotics.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **robotics**. • Robots carry out manufacturing process with no human involvement **(1)**	**(1)**

Question Number	Define the term **capital intensive production** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **capital intensive production**. • Production methods that use machinery more than labour **(1)**	**(1)**

Question Number	State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for an extension strategy *PPS* could use to extend the life cycle of its pet accessories. • *PPS* could change the design of a dog jacket **(1)** • *PPS* could redesign UK dog collars **(1)** **NB** Do not accept an extension strategy that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 17 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 · extract 4 of 6 · find part a.v in this mark scheme extract

Question Number	Calculate the new hourly minimum wage after the increase of 3.5%. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 7.45 x 0.035 = 0.26 **(1)** 7.45 + 0.26 = 7.71 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** reason why many businesses have a human resource function. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses have a human resource function, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • To recruit employees **(1)** by identifying a vacancy in the business **(1)** and finding the right person for that vacancy **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 17 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 · extract 5 of 6 · find part a.v in this mark scheme extract

Question Number	Analyse the usefulness of the gross profit margin to *PPS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The gross profit margin in 2022 was 25.6% and in 2023 29.4% • Between 2022 and 2023 the GPM increased by 3.80% **AO3** • *PPS* can see that the increase indicates a healthy financial position with a positive increase and this may help in business decisions they have to make for following years • Figures such as this can be used to compare year on year performances and check changes in profitability	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Convert prices between currencies with exchange rates

Answer 17 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 01 · extract 6 of 6 · find part a.v in this mark scheme extract

Question Number	State **one** advantage for *PPS* of keeping its customers loyal. **Answer**	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 18 of 24 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a.iii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is A –** Continuous improvement **B** – is not the correct answer as just-in-time (JIT) is the arrival of supplies when needed **C** – is not the correct answer as market orientation is not manufacturing **D** – is not the correct answer as job production is where employees make one unit at a time	**(1)**

Q. No.	Which **one** of the following function areas would pay its employees' wages? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** - Finance **B** – is not the correct answer as Human resources deals with recruitment **C** – is not the correct answer as Marketing deals with the promotion of the product **D** – is not the correct answer as Production deals with the manufacture of goods	**(1)**

Q. No.	Which **one** of the following is the price of the shoes in pounds? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – £594.54 **A** – is not the correct answer as £565.00 is 5.65 x 100 **C** – is not the correct answer as £3 353.48 is 3 359.13 – 5.65 **D** - is not the correct answer as £18 979.08 is 3 359.13 x 5.65	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 18 of 24 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a.iii in this mark scheme extract

Q. No.	Which **one** of the following is a benefit of being a sole trader? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C** – Independence for the owner **A –** is not the correct answer as it is not easy for a sole trader to raise additional capital **B** – is not the correct answer as decisions are not shared **D** – is not the correct answer as sole traders do not have limited liability	**(1)**

Q. No.	Which **one** of the following is the closing balance for the business? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B** – £48 000 **A** – is not the correct answer as £44 000 is cash inflow plus cash outflow **C** – is not the correct answer as £55 000 is opening balance plus cash outflow **D** – is not the correct answer as £65 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D** It is a more up to date method of research **A** – is not the correct answer as it is more expensive due to being tailor-made to the business **B** – is not the correct answer as primary research takes more time due to carrying out surveys **C** – is not the correct answer as primary market research is not always done by market research agencies	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 18 of 24 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a.iii in this mark scheme extract

Q. No.	Define the term **e-newsletter**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **e-newsletter.** • Information sent electronically by a business to its customers **(1)**	**(1)**

Q. No.	Define the term **minimum wage.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **minimum wage.** • The lowest legal hourly wage rate that can be paid to workers **(1)**	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* would want loyal customers. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy* Choo would want loyal customers in the context of the business. • If *Jimmy Choo* designs and manufactures handbags then existing customers are more likely to return to buy more handbags **(1)** • Loyal customers are more likely to return to buy new shoes **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 18 of 24 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a.iii in this mark scheme extract

Q. No.	Calculate, the predicted value of recycled plastic for 2027. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 41.73 x 0.066 = 2.75 **(1)** 41.73 + 2.75 = 44.48 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** reason why businesses comply with equal opportunities legislation. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a valid reason why businesses comply with equal opportunities legislation, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses comply with the law as it is a legal requirement. **(1)** They cannot discriminate against a person because of gender/race/age. **(1)** The business could be taken to court and sued if they do not comply **(1)** • If the business is not compliant with legislation **(1)** then employers **(1)** are liable to be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 18 of 24 · Question 1 part a.iii · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a.iii in this mark scheme extract

Q. No.	Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may be disappointed with their shoes and will go elsewhere to buy their next pair • Revenue may fall if a new perfume does not meet the standard that customer need and want **AO3** • This could have a large impact on *Jimmy Choo*'s sales and profits • This could incur a loss of revenue and may impact further upon *Jimmy Choo*'s expansion plans	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Convert prices between currencies with exchange rates

Answer 18 of 24 · Question 1 part a.iii · 1 mark

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Q. No.	State **one** non-financial objective *Jimmy Choo* might have. **Answer**	**Mark**

Type MS · Convert prices between currencies with exchange rates

Answer 19 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 19 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a.v in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 19 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a.v in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 19 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a.v in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 19 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a.v in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Convert prices between currencies with exchange rates

Answer 19 of 24 · Question 1 part a.v · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a.v in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Convert prices between currencies with exchange rates

Answer 20 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 20 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 20 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.v in this mark scheme extract

Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 20 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.v in this mark scheme extract

Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	**Additional guidance**	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 20 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.v in this mark scheme extract

Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

Type MS · Convert prices between currencies with exchange rates

Answer 20 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.v in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 21 of 24 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D Raw materials** **A** – is not the correct answer as insurance is a one-off payment **B** - is not the correct answer as rent is also a fixed cost for a period of time **C** - is not the correct answer as salaries are the same for a certain period	**(1)**

Q. No.	Which **one** of the following is a type of discrimination protected by employee legislation? **Answer**	Mark
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Age** **A** – is not the correct answer as political is not protected by employee legislation **B** - is not the correct answer as ethical is not protected by employee legislation **D** - is not the correct answer as promotion is not protected by employee legislation	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 21 of 24 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	Which **one** of the following is the price of buying both items with the promotional discount? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B – £150.48** **A** – is not the correct answer as £129.96 is the cost with 24% discount **C** - is not the correct answer as £160.80 is the cost with the discount only applied to one item **D** - is not the correct answer as £171.00 is the cost of the items without a discount	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C - It is more up to date method of research** **A** – is not the correct answer as it is more expensive than other types of market research **B** – is not the correct answer as it is more time-consuming than other market research methods **D** - is not the correct answer as it is not only carried out by market-research agencies	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 21 of 24 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Q. No.	Which **one** of the following is the closing balance for this month? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B – €96 000** **B** – is not the correct answer as €88 000 is cash inflow plus cash outflow **C** – is not the correct answer as €110 000 is opening balance plus cash outflow **D** - is not the correct answer as €130 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is a likely effect of this change for American businesses? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is A – higher loan repayments** **B** – is not the correct answer as the change in interest rates does not affect labour costs **C** – is not the correct answer as the change in interest rates will not improve net cash flow **D** - is not the correct answer as there is no guarantee of an increase in sales	**(1)**

Q. No.	Define the term **autonomy**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Giving employees the authority to make choices about the way they work **(1)**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 21 of 24 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Q. No.	Define the term **qualitative data**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **qualitative data**. • Data relating to attitudes, beliefs and intentions **(1)**	**(1)**

Q. No.	State **one** reason why *Rabanne* may use test marketing when introducing a new product. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Rabanne* may use test marketing when introducing a product in the context of the business • *Rabanne* uses test marketing to see if the new perfume they want to introduce is something that customers are likely to buy **(1)** • If the aftershave is not liked, then *Rabanne* can make adjustments before it is launched **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. Accept any appropriate response	**(1)**

Q. No.	Calculate, to **two** decimal places, the price of the handbag in US dollars. You are advised to show your working. **Answer**	**Additional Guidance**	Mark
1 (e)	**A02 - 2 marks** = 1 709.68 **(2)** **OR** 1 590 ÷ 0.93 = **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 21 of 24 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Q. No.	Explain **one** reason why an employer might use a letter to communicate with an employee. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why an employer might use a letter to communicate with an employee, plus 2 further marks, for a maximum of 3 marks. • Letters are private way of communicating **(1)** a job offer/promotion/suspension/redundancy with an employee **(1)** to confirm the next stage in the process **(1)** • Letters are a formal way of communication **(1)** as it portrays a professional image for the business **(1)** and is personal to an employee **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Analyse **two** benefits to *Rabanne* of being a global business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *Rabanne* is a global business its perfume can be sold throughout the world • Being global gives *Rabanne* access to a variety of employees who have the skills and knowledge to create different fragrances for men and women **AO3** • Giving it access to a wider range of people who can purchase its products more easily • Providing a variety of skills and talents to help create and sell its products	**(6)**

Type MS · Convert prices between currencies with exchange rates

Answer 21 of 24 · Question 1 part e · 2 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Q. No.	State **one** reason why *Rabanne* ensures that all its employees have job enrichment opportunities. **Answer**	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 22 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part a.v in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B - Engineering** **A** – is not the correct answer as coal mining is primary sector **C** - is not the correct answer as farming is primary sector **D** - is not the correct answer as insurance is tertiary sector	**(1)**

Q. No.	Which **one** of the following is an external source of finance? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is D – Bank loan** **A** – is not the correct answer as – selling assets is internal **B** - is not the correct answer as – retained profit is internal **C** - is not the correct answer as – personal savings is internal	**(1)**

Q. No.	Which **one** of the following is the percentage decrease in the price of a latte? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is C – 9.32%** **A** – is not the correct answer as 0.55% is 5.90 – 5.35 **B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35 **D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 22 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part a.v in this mark scheme extract

Q. No.	Which **one** of the following is the minimum number of owners in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - 2** **A** – is not the correct answer as 1 is not a partnership **C** – is not the correct answer as 20 is not the minimum number of people needed **D** - is not the correct answer as 50 is not the minimum number of people needed	**(1)**

Q. No.	Which **one** of the following would be the price in Rupees to be a member in India? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is A – 413.48** **B** – is not the correct answer as 1105.08 is 92.09 x 12 **C** – is not the correct answer as 4134.84 is 920.90 x 4.49 **D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09	**(1)**

Q. No.	Which **one** of the following is an external source of finance for managing immediate cash flow problems? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D - overdraft** **A** – is not the correct answer as personal savings are an internal source of finance **B** – is not the correct answer as retained profit is an internal source of finance **C** - is not the correct answer as selling assets is an internal source of finance	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 22 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part a.v in this mark scheme extract

Q. No.	Define the term **social enterprise.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **social enterprise**. • A business that aims to improve human or environmental well-being **(1)**	**(1)**

Q. No.	Define the term **tertiary sector**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **tertiary sector**. • Provides services to consumers and other sectors of industry **(1)**	**(1)**

Q. No.	State **one** reason why *Starbucks* wants to retain its employees. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business • By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)** • If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks.* Accept any appropriate response	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 22 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part a.v in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 165.7 x 1.3825 **(1)** = 229.08 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** disadvantage for a business of training its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks. • Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)** • Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)** **NB** No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 22 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part a.v in this mark scheme extract

Q. No.	Analyse the benefits for *Starbucks* of using batch production. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit • It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches **AO3** • Which ensure a uniform taste and quality across all locations • This decreases production time ensuring a wide range of sandwiches for sale	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Convert prices between currencies with exchange rates

Answer 22 of 24 · Question 1 part a.v · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part a.v in this mark scheme extract

Q. No.	State **one** reason why *Starbucks* should have good communication with its customers. **Answer**	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 23 of 24 · Question 3 part c · 2 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **crowdfunding**. • Where a large number of individuals invest in a business using an online platform	**(1)**

Q. No.	Outline **one** reason why the proximity of labour is important to *Starbucks*. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why the proximity of labour is important to *Starbucks* plus 1 further mark for linking it to the context of the business. • It provides increased access to potential workers **(1)** to serve as baristas in the shop **(1)** **NB** Award a maximum of 1 mark if there is no context anywhere in the answer. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate the salary of the *Starbucks* employee in Germany in euros. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** 21 000 x 0.91 **(1)** = 19 110 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 23 of 24 · Question 3 part c · 2 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Q. No.	Analyse why *Starbucks* wants to promote its existing employees. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By promoting its own employees, to an Assistant Manager of a coffee shop, they will remain loyal to *Starbucks* • It reduces the cost of advertising for new employees who have experience of coffee shops **AO3** • As they are familiar with the aims of the business and how it works • As well as saving time and money training new employees in the ways that *Starbucks* works	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Convert prices between currencies with exchange rates

Answer 23 of 24 · Question 3 part c · 2 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Q. No.	**Option 1:** Open coffee shops in supermarkets **Option 2:** Open coffee shops in hospitals. Justify which **one** of these two options *Starbucks* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – If *Starbucks* opens coffee shops in supermarkets it could gain customers who want to have a coffee after finishing their shopping • **Option 2** – By opening coffee shops in hospitals, means that friends/relatives who have travelled a distance getting to the hospital can have a drink **AO3** • **Option 1** – Customers may also be encouraged to purchase a cake if they have had a busy time carrying out their food shopping • **Option 2** – They may even take their relative in hospital for a coffee **AO4** • **Option 1** – However, there is no guarantee that customers will want to stop and have a coffee after shopping they may prefer to go home • **Option 2** – However, there is no guarantee that visitors to the hospital would want to stay and have a drink if their time was limited	**(9)**

Type MS · Convert prices between currencies with exchange rates

Answer 23 of 24 · Question 3 part c · 2 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Convert prices between currencies with exchange rates

Answer 23 of 24 · Question 3 part c · 2 marks

2025 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the cost of the meal with the employee's discount. You are advised to show your workings **Answer**	Additional Guidance	Mark

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 1 of 9 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C –** Sales promotion **A** – is not the correct answer as workforce planning is a role within the human resources function **B** – is not the correct answer as quality control is a role withing the production function **D** – is not the correct answer as training employees is a role in the human resources function	**(1)**

Question Number	Which **one** of the following is an example of a non-financial method of motivation? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is D –** Job rotation **A** – is not the correct answer as a bonus is a financial method of motivation **B** – is not the correct answer as remuneration is a financial method of motivation **C** – is not the correct answer as fringe benefits are financial methods of motivation	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 2 of 9 · find part e in this mark scheme extract

Question Number	Which **one** of the following is a phase of the product life cycle? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A** – Introduction **B** – is not the correct answer as a cash cow is a phase of the Boston matrix **C** – is not the correct answer as a dog is a phase of the Boston matrix **D** – is not the correct answer as a star is a phase of the Boston matrix	**(1)**

Question Number	Which **one** of the following is an example of a public service provided by the government? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is B –** Police force **A** - is not the correct answer as a clothing retailer is not a public service **C** – is not the correct answer as a mobile phone provider is not a public service **D** – is not the correct answer as a grocery store is not a public service	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 3 of 9 · find part e in this mark scheme extract

Question Number	Which **one** of the following is the interest charged by the bank on an overdraft of €1 400? **Answer**	Mark
1 (a)(v)	**AO1 - 1 mark** **The only correct answer is B –** €168 **A** – is not the correct answer as €140 is 10% of €1 400 **C** – is not the correct answer as €1 388 is €1 400 minus 12 **D** – is not the correct answer as €1 568 is €1 400 plus 12%	**(1)**

Question Number	Which **one** of the following is the percentage change in the total costs between 2022 and 2023 **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C –** 10.53% **A** – is not the correct answer as 0.90% is 380 000/420 000 **B** – is not the correct answer as 9.52% is 40 000/420 000 x 100 **D** – is not the correct answer as 90.48% is 380 000/420 000 x 100	**(1)**

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **primary sector.** • Businesses involved in the extraction of raw materials	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 4 of 9 · find part e in this mark scheme extract

Question Number	Define the term **shareholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **shareholder.** • Anyone who buys a share in a business **(1)**	**(1)**

Question Number	State **one** benefit to *Ocean Vibes* of using competition pricing. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing. • *Ocean Vibes* may attract sales from other boat tour businesses **(1)** **NB** Do not accept a benefit that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 5 of 9 · find part e in this mark scheme extract

Question Number	Calculate the price of the boat tour in UK pounds (£). You are advised to show your working. **Answer**	Mark
1 (e)	**A02 - 2 marks** Award 2 marks for the correct answer. £57 **(2)** OR Award 1 mark for working 60 x 0.95 **(1)**	**(2)**

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 6 of 9 · find part e in this mark scheme extract

Question Number	Explain **one** advantage to an individual of being a sole trader. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks. • The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)** • The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 7 of 9 · find part e in this mark scheme extract

Question Number	Analyse why *Ocean Vibes* should measure employee satisfaction. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours • If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours **AO3** • This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability • This may lead to good reviews from customers which may encourage good recommendation and increased sales	**(6)**

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

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Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Convert prices between currencies with exchange rates

Answer 24 of 24 · Question 1 part e · 2 marks

2025 NOV · Paper 01 · extract 9 of 9 · find part e in this mark scheme extract

Question Number	State **one** fixed cost *Ocean Vibes* is likely to pay. **Answer**	**Mark**